6.1.3 Objectives of Vouching

The main objectives of vouching are:

1. To examine that all transactions and entries have been properly accounted for in the appropriate books of accounts.
2. To ensure that adequate documentary evidence exist to all the transactions.
3. To ensure that the transactions and entries relate to the business and to the period under audit.
4. To ensure that there is no omission of any record.
5. To evaluate the collected evidence and vouchers by determining the authenticity and validity of the documentary evidence.
6. To ensure that the transactions and entries are properly authenticated by the responsible officer.

Hence, vouching is called as backbone of auditing.

6.2 Voucher

6.2.1 Meaning

Documentary evidence in support of any business transaction is called as a Voucher. It may be a receipt, invoice, bill, cash memo, bank pay-in-slip, counterfoil of a cheque, correspondences, agreements, resolutions passed in the meeting etc. Voucher gives information about the nature and source of the transaction, its value and authority. It substantiates the entries in the book of accounts and confirms the genuiness of the transaction. All vouchers relating to the business transactions should be carefully preserved and properly filed.

6.2.2 Types of Voucher

There are two types of Voucher. They are -

1. Primary Voucher
2. Collateral Voucher

1. **Primary Voucher:** Primary voucher refers to the written evidence in original. Examples of primary voucher are purchase invoice, cash memo, bills, confirmation of balances, bank statements, contracts, etc.
2. **Collateral Voucher:** When the original voucher is not available, copies thereof are produced in support or as subsidiary to remove suspicion and to satisfy the auditor, such a voucher is known as Collateral Voucher. Examples of collateral voucher are copies of sales invoice, receipts, copy of resolution passed in a meeting etc.

Voucher

XY Pvt. Ltd.,
Canal Bank Road, Adayar, Chennai.

Voucher No. _____ Date: _____

Particulars	Amount (₹)
Credit:	
Being the	
Total	

Sd/-
Manager

Sd/-
Accountant

XI_Auditing_Chapter_6.indd 67 11/11/2020 11:35:07 AM